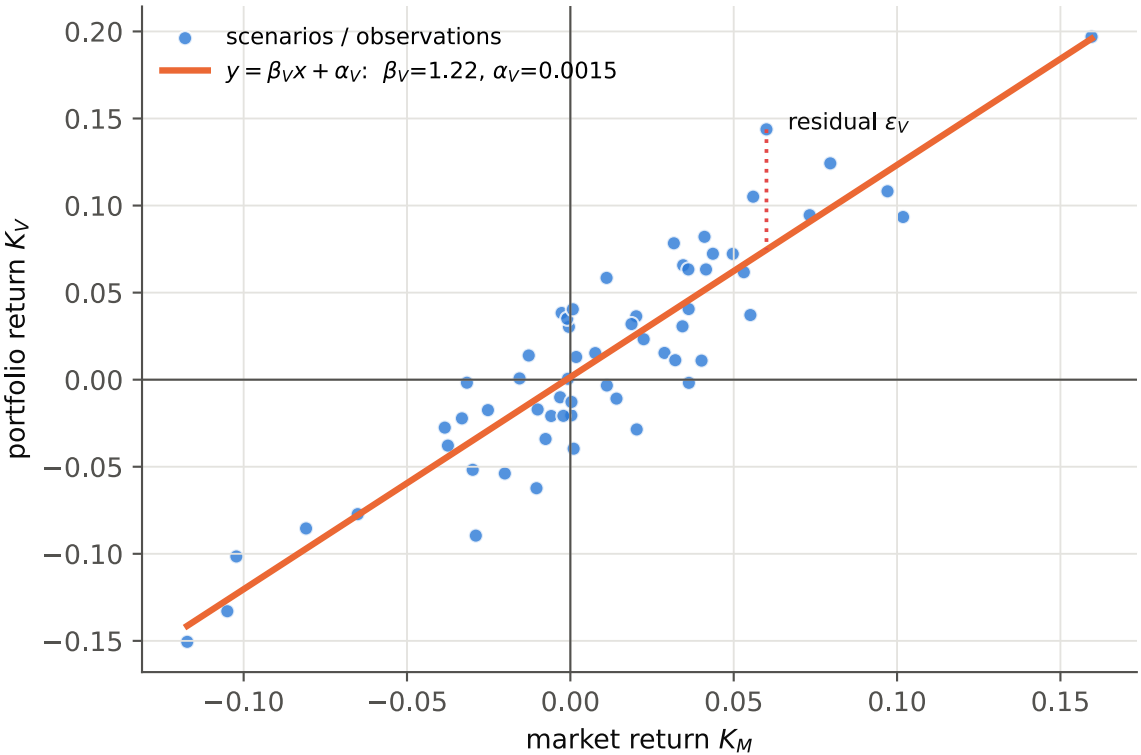
Characteristic line / beta (Fig 5.12) — simulated data
scenarios / observations
$y = \beta_V x + \alpha_V$: β_V=1.22, α_V=0.0015
residual ε_V
portfolio return K_V
market return K_M
0.20
0.15
0.10
0.05
0.00
−0.05
−0.10
−0.15
−0.10
−0.05
0.00
0.05
0.10
0.15